



MGT402

Assignment No 1

Word File Available : 03147094561

MGT402

(Spring 2023)



ورڈ فائل لینے کے لیے اس نمبر پر میسج کرے

03147094561

Solution:

1. Material Ledger Card (FIFO Method) for the Month of January:

Perpetual System									
Receipt				Issuance			Balance		
Month	Qty	Rate	Amount	Qty	Rate	Amount	Qty	Rate	Amount
Jan 1		-			-		50	211	10549
Jan 4	2000 0	Rs31 5	630,00 0				2,00 0	315	630000
Jan 13		-		50	211	10.549			
				95 0	315	299.25 0	1050	315	330750
Jan 29		-		75	315	236.25	300	315	94500

				0		0			
--	--	--	--	---	--	---	--	--	--

2. Calculate the gross earnings of the workers for the month of January:

Wage Rate Per Hour : Rs. 104

Time allowed for the job: 240 hours

Time taken: 176 hours

Hasley Premium Plan

Gross earnings = (Time taken * Wage rate per hour) + (Premium rate * Time saved)

Premium rate = 30% (since Halsey Premium plan is observed)

Time saved = Time allowed - Time taken = 240 - 176 = 64 hours

Premium rate * Time saved = 0.3 * 64 = 19.2 hours

Gross earnings = $(176 * 104) + (19.2 * 104) = 18,304 + 1,996.8 = \text{Rs. } 20,300.80$

3. Cost of Goods Sold (COGS) Statement for the Month of January:

Factory Overhead Applied = Rs. 45,000

Closing Finished Goods Inventory = Rs. 15,000

Closing work in process = 5,000

Direct Material Cost:

Opening Inventory (50 m) * Cost per meter (Rs. 210.98) = Rs. 10,549

Purchases (2,000 m) * Cost per meter (Rs. 315) = Rs. 630,000

Total Material Cost = Opening Inventory + Purchases = Rs. 640,549

Direct Labor Cost = Gross Earnings = Rs. 18,304

Factory Overhead Applied = Rs. 45,000

**Total Manufacturing Cost = Direct Material Cost + Direct Labor Cost +
Factory Overhead Applied**

= Rs. 640,549 + Rs. 18,304 + Rs. 45,000

= Rs. 703,853

Closing Finished Goods Inventory = Rs. 15,000

**Cost of Goods Manufactured = Total Manufacturing Cost + Opening
Work in Process Inventory**

$$= \text{Rs. } 703,853 + \text{Rs. } 5,000$$

$$= \text{Rs. } 708,853$$

Cost of Goods Sold = Cost of Goods Manufactured + Opening Finished Goods Inventory - Closing Finished Goods Inventory

$$= \text{Rs. } 708,853 + \text{Rs. } 0 - \text{Rs. } 15,000$$

$$= \text{Rs. } 693,853$$

The Cost of Goods Sold for the month of January is Rs. 693,853.

Hamza

RIDE



@studywithhamza25



@hamzabahtti25



03147
03217